2 NIFTY P/E

Nifty Price to earnings ratio refers to the amount paid by investors to earn one rupee of earnings in Nifty 50 companies. It essentially tells us what price-to-earnings ratio is the market index trading for?

What is P/E?

P/E Formula: Market cap of any company/ Total earnings of the company in years

NIFTY P/E Formula: Nifty value/ Weighted earnings of all NIFTY companies

P/E = Price / Earnings

P - stands for Price which basically means the **Current Market Price**

E - stands for **Earning per share**

EPS = Total Earnings / Total Number of Shares

In other words, how much money does each share earn?

In Case of Reliance.

Lets say, Reliance earns 100 rupees per share on average. This stock trades for Rs 2200 in the market. So, this means that the P/E ratio of reliance is 2200 /100 = 22x. Therefore this essentially means that a person must invest Rs 22 in Reliance to earn a profit of Rs 1 for their share.

P/E of Reliance = 2200 / 100 = 22x

In Case of Reliance

- While market share is a measure of the company's sentimental value, earnings show how well a business and its products/services are performing.
- We must compare one fundamental item and one market related item. So, in the instance of Reliance, we could argue that the price we paid for the stock was 22 times earnings.
- Based on the P/E ratio we can determine how much investors are valuing Rs. 1 of earnings of the company.